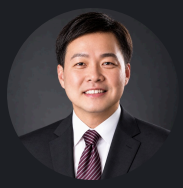
JASON CHOI
REAL ESTATE

FREE GUIDE

HOTEL & MOTEL BUYER'S GUIDE

Buying a Hotel or Motel: Step-by-Step

A 10-phase guide for buying a hotel or motel in Alberta or British Columbia — from setting your criteria to the first 90 days after closing.



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Overview

Buying a hotel combines a real estate purchase with an operating business: brand (franchise) approval, liquor licensing, staff, booking platforms and sometimes a management agreement. Each part has its own timeline. A typical purchase takes **90–180 days**.

	Asset purchase (most common)	Share purchase
What you buy	Land and building (if owned), equipment, goodwill, name, licences (re-applied)	The company that owns the business
GST	5% unless a Section 167 election is filed	No GST on shares
BC Property Transfer Tax	Applies to real property	Generally does not apply
Past liabilities	Stay with the seller	Transfer to you
Seller tax benefit	—	Seller may use the $1.25M Lifetime Capital Gains Exemption

Most hotel deals in Alberta and BC are asset purchases. Decide the structure with your lawyer and accountant before you make an offer. (See my **Asset Sale vs. Share Sale** guide.)

Phase 1 · Set Your Criteria and Build Your Team (weeks 1–2)

- Type: full-service, select-service, limited-service, extended stay, boutique or motel
- Branded (flag) or independent
- Location: city, highway, resort, small town
- Room count and target revenue
- Owner-operated or third-party management
- Your equity, financing and investment horizon

Advisor	Role
Commercial REALTOR®	Search, analysis, negotiation, coordination
Commercial lawyer	LOI, purchase agreement, title, closing
Accountant (CPA)	Structure, GST, tax, financial review
Appraiser (AACI)	Independent value — usually required by the lender
Commercial mortgage broker / lender	Financing plan before you offer
Building inspector and engineers	Building, systems, pool, elevator, fire safety

Environmental consultant	Phase I ESA (Phase II if needed)
Employment lawyer	Staff transition; essential if unionized

Phase 2 · Market Research and Screening (weeks 2–4)

Measure	Formula	Why it matters
Occupancy	Rooms sold ÷ rooms available	Demand and seasonality
ADR (average daily rate)	Room revenue ÷ rooms sold	Pricing power
RevPAR	ADR × occupancy	Main performance measure — compare with competitors
RevPAR index	Hotel RevPAR ÷ competitor RevPAR × 100	Above 100 = beating the market
NOI	Revenue − operating expenses	Basis of value
Cap rate	NOI ÷ price	Market-based; varies by type and location
Price per room	Price ÷ rooms	Quick cross-check

Useful sources: STR benchmarking reports (ask the seller), brokerage hotel market reports, Travel Alberta and Destination BC statistics.

Phase 3 · NDA and Letter of Intent (weeks 4–6)

Sign a confidentiality agreement (NDA) before receiving financials. Then submit a Letter of Intent covering:

- Price, and what is included (property, furniture and equipment, brand, licences)
- Asset or share purchase
- Due diligence period (often 45–90 days)
- Financing condition
- Closing date
- Exclusivity period (30–60 days)
- Key conditions: brand approval, liquor licence, appraisal, environmental review

> Hotel LOIs are not standard forms. Have your lawyer review the LOI before you sign — some clauses can be binding.

Phase 4 · Purchase Agreement (weeks 6–9)

Seller's promises (representations) to ask for

- Financial statements and occupancy data are accurate
- Clear title; no undisclosed charges
- No known environmental problems
- All licences and permits are valid
- No undisclosed labour disputes or lawsuits
- Franchise agreement in good standing
- Protection if something major changes before closing

Conditions to include

- Satisfactory building, environmental, financial and operational due diligence
- Financing approval
- Brand / franchisor approval and an acceptable PIP
- Liquor licence transfer or new licence
- Review of key contracts (management, booking platforms, suppliers)
- Furniture and equipment inventory

Closing adjustments

- Property taxes, utilities and prepaid items
- Room revenue on the night of closing
- Advance deposits and prepaid reservations (credit to buyer)
- Gift certificates (credit to buyer)
- Final furniture and supplies count

Deposits: often 2%–5% at signing and more on condition removal, held in trust. Deposits are usually non-refundable once conditions are removed.

Phase 5 · Physical Due Diligence (weeks 9–14)

Area	Check
Structure and roof	Foundation, leaks, roof age
Heating and cooling	Boilers, room units (PTACs), efficiency
Electrical and plumbing	Panel capacity, wiring, pipe material, water heaters
Pool	Pumps, heater, filtration, health compliance

Elevators	Safety certificates, modernization needs
Fire safety	Sprinklers, alarms, kitchen suppression, emergency lighting
Environmental (Phase I)	Past land use, fuel tanks, asbestos, mould
Furniture and equipment	Independent inventory and remaining life
Parking and site	Paving, drainage, lighting

> Brands usually require owners to set aside about **4%–5% of revenue** each year for furniture and equipment replacement. Factor this into your numbers.

Phase 6 · Financial and Contract Review (weeks 9–14)

- 3–5 years of financial statements (hotel format, USALI) reviewed by a CPA with hotel experience
- 24 months of STR reports compared with competitors
- Revenue by source: rooms, food and beverage, meetings
- Booking channels: online travel agencies, direct, corporate, groups
- Payroll by department; union agreement if any
- Utilities, insurance claims, property tax notices
- 5 years of capital spending; deferred maintenance list

Contract	Key questions
Franchise agreement	Term left, transfer fee, PIP, royalties, termination
Management agreement	Fees, term, can you end it on purchase?
Online travel agencies	Commission rates, rate parity rules
Corporate accounts	Which will continue after the sale?
Suppliers, linen, technology (PMS)	Term, transfer, cancellation
Union agreement	Successor obligations, expiry date
Ground lease (if any)	Term, renewals, landlord consent

Phase 7 · Brand, Liquor and Permits (start early — weeks 10–16)

Brand approval and PIP

Most brands require a change-of-ownership application. The brand reviews your finances and experience and issues a **Property Improvement Plan (PIP)** — required upgrades at your cost, from a

few thousand dollars to $500,000+. Ask about the PIP **before** you make an offer, and make closing conditional on acceptable brand approval.

Liquor licence

Alberta	British Columbia
Regulator: AGLC (Alberta Gaming, Liquor and Cannabis)	Regulator: LCRB (Liquor and Cannabis Regulation Branch)
Transfer or new licence; background checks, floor plans	Change of ownership or new licence; background checks
Allow 60–90+ days	Allow 90–120+ days
Ask whether interim operation is allowed during the transfer	Ask about interim operation during the application

Other permits

- Municipal business licence
- Public health permits (food service, pool)
- Fire inspection
- Sign permits
- Tourism levy account (Alberta Tourism Levy; BC Municipal and Regional District Tax where applicable)
- WCB (Alberta) or WorkSafeBC registration
- GST and payroll accounts

Phase 8 · Financing (weeks 8–14)

Lender type	Typical loan-to-value	Notes
Chartered banks	About 50%–65%	Conservative; strong debt coverage (often 1.25x+) required
Credit unions (e.g., ATB, BC credit unions)	About 55%–70%	Often more flexible for regional and smaller hotels
BDC (Business Development Bank of Canada)	Varies	Supports tourism and hospitality; business plan required
Vendor take-back (seller financing)	Often 10%–25% of price	Reduces equity needed; second to the bank
Private / bridge lenders	About 50%–65%	Higher rates; short term

> **⚠ Note**
> CMHC mortgage insurance is generally for housing (homes and apartment buildings), not hotels or motels. Ask your mortgage broker which lenders are active in hotel financing today.

Phase 9 · Condition Removal and Closing (weeks 14–20)

- Review all findings with your team. If problems are found, ask for a price reduction, seller repairs, a credit or extra protection.
- Remove conditions in writing by the deadline — the deal becomes firm.
- Seller delivers transfer documents, keys and codes, licences, warranties, contract assignments, bill of sale and inventory count.
- You deliver funds and mortgage documents; insurance and utilities start on closing day.
- Your lawyer registers the transfer and pays fees, BC PTT (if applicable) and GST (if applicable).

Phase 10 · The First 90 Days (after closing)

- Meet all staff on day one; confirm jobs and pay
- Check every reservation in the system
- Update booking platforms with new banking and contacts
- Set up suppliers, merchant processing and bank accounts
- Confirm insurance: property, liability, liquor liability, business interruption
- Keep key managers — consider retention bonuses
- Review online reviews, pricing and booking channels
- Start PIP work on the brand's schedule

Hotels often take **6–12 months** to settle under new ownership. Keep at least **3 months of operating expenses** as working capital, separate from your renovation budget.

Red Flags

Red flag	What to do
Seller will not share STR data	Strong warning sign — ask why, or walk away
PIP not known before the offer	Contact the brand early; price it in
Liquor licence under review or suspended	Check with the regulator at the start
Key managers leaving	Plan retention before closing

Deferred maintenance not reflected in price	Get a capital reserve study; negotiate
Union agreement	Get employment law advice before signing
Phase I environmental concerns	Do a Phase II before removing conditions
“Pro-forma” numbers instead of actual results	Rely on 3–5 years of actual statements

Looking at a hotel or motel?
I help buyers find, analyze and negotiate hotel and motel purchases across Alberta and BC. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

General information only. Not legal, tax, financial or environmental advice. Requirements and timelines vary by property, brand, lender and regulator. Retain qualified professionals before signing any agreement. Prepared by Jason Choi, REALTOR®, First Place Realty. Updated November 2026.